

Financial Statements & Cash Flows

Easy Study Notes | Business Finance

SECTION 1 – The Income Statement

What is it?

The Income Statement (also called Profit & Loss Statement) tells us whether a business **made money or lost money** during a specific period (month, quarter, or year).

Simple analogy: Think of it as your personal salary vs. expenses calculation — what you earned minus what you spent = what you kept.

Key Components

Component	What It Means	Example
Revenue (Sales)	Total money earned by selling goods/services	Shop earns Rs. 500,000
Cost of Goods Sold (COGS)	Direct cost to produce or buy the goods sold	Bought goods for Rs. 200,000
Gross Profit	Revenue minus COGS	Rs. 300,000
Operating Expenses	Day-to-day running costs (rent, salaries, utilities, marketing)	Rs. 150,000
Operating Income (EBIT)	Gross Profit minus Operating Expenses	Rs. 150,000
Interest & Taxes	Loan interest + income tax owed	Rs. 30,000
Net Income (Profit)	Final profit kept by the business	Rs. 120,000

The Formula (Step by Step)

Revenue – COGS = Gross Profit

Gross Profit – Operating Expenses = Operating Income

Operating Income – Interest & Taxes = Net Income

Quick Exam Tips

Revenue	is always the FIRST (top) line — that's why it's called the 'top line'
Net Income	is the LAST (bottom) line — called the 'bottom line'

COGS	only includes costs directly tied to making the product
Gross Profit margin	= (Gross Profit / Revenue) × 100 → higher = better
Net Profit margin	= (Net Income / Revenue) × 100 → the true efficiency measure

SECTION 2 – Measuring Cash Flows

What is a Cash Flow Statement?

The Cash Flow Statement tracks the **actual movement of cash** in and out of a business. While the Income Statement records transactions when they happen (accrual basis), the Cash Flow Statement only counts **real cash received or paid**.

KEY CONCEPT: Profit does NOT equal Cash! A business can show profit but have no cash if customers haven't paid yet. A business can have cash but show a loss (e.g. received a loan). That is why we need BOTH statements.

3 Categories of Cash Flow

Category	What It Covers	Cash In (+) Examples	Cash Out (–) Examples
Operating Activities	Day-to-day business operations	Cash from customers Cash interest received	Paid to suppliers Paid salaries Paid taxes
Investing Activities	Buying/selling long-term assets	Sold machinery Sold investments	Bought equipment Bought land/building
Financing Activities	Dealings with owners and lenders	Took a bank loan Issued new shares	Repaid loan Paid dividends

Two Methods to Prepare the Cash Flow Statement

Both methods give the **same final answer** for Operating Cash Flow — they just arrive there differently.

	Direct Method	Indirect Method
How it works	List every actual cash receipt and payment directly	Start with Net Income, then add back non-cash items and adjust for working capital changes
Starting point	Cash collected from customers	Net Income (from Income Statement)
Adjustments	No adjustments needed	+ Depreciation (non-cash expense) + Decrease in current assets – Increase in current assets + Increase in current liabilities – Decrease in current liabilities

Complexity	Simple to understand	More complex but very commonly used
Usage	Rarely used in practice	Used by most companies worldwide
IFRS / GAAP	Allowed but discouraged	Preferred method

Indirect Method Formula

Net Income
+ Depreciation & Amortization (non-cash, add back)
+ / – Changes in Working Capital
= Cash Flow from Operating Activities

SECTION 3 – Summary & Quick Revision

At-a-Glance Comparison

Feature	Income Statement	Cash Flow Statement
Purpose	Shows profit or loss	Shows cash in/out
Basis	Accrual (when earned/incurred)	Cash (when received/paid)
Question answered	Did we make profit?	Do we have cash?
Key line	Net Income	Net Change in Cash
Includes non-cash?	Yes (depreciation, accruals)	No — cash only
Sections	Revenue, COGS, Expenses	Operating, Investing, Financing

Important Definitions to Remember

Revenue	Total sales/income earned by the business
COGS	Cost of Goods Sold — direct production costs
Gross Profit	Revenue minus COGS
Net Income	Final profit after all expenses and taxes
Depreciation	Gradual reduction in asset value — non-cash expense
Accrual Basis	Record income/expense when earned, not when cash moves
Cash Basis	Record only when cash actually changes hands
Working Capital	Current Assets minus Current Liabilities

Operating CF	Cash from core daily business activities
Free Cash Flow	Operating CF minus Capital Expenditures